

Appendix F — DEQUAD Five-Year Financial Model

Currency: GBP (£) thousands unless stated. Open the source `F_financial_model.csv` in Excel/Numbers for live editing.

DEQUAD Ltd — Five-Year Financial Model						
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Last updated: 2026						
REVENUE	Y1	Y2	Y3	Y4	Y5	NOTES / ASSUMPTIONS
Universities (paid)	3	10	25	50	100	Conservative procurement timeline; 4-6mo sales cycle (JISC data)
Avg students per university (verified)	5000	8000	8000	10000	12000	Manchester ~40k; Sussex ~18k; average mid-range UK uni ~10-15k
Cohort coverage (students)	15000	80000	200000	500000	1200000	= universities x avg students
Institutional revenue (£/student/year)	2.0	2.0	2.0	2.0	2.0	Flat, transparent £2 per enrolled student per year; below in-house counsellor cost
Institutional ARR (£k)	30	160	400	1000	2400	= universities x avg students x price
NHS ICBs commissioned	0	0	1	2	5	NHS Innovation Accelerator Y2; first ICB Y3
NHS ARR (£k)	0	0	50	250	800	£8/engaged user/year, conservative engagement assumption
Premium subscribers (students)	0	1500	8000	25000	60000	~3-5% of verified base converts; Calm/Headspace benchmark
Premium ARR (£k)	0	30	150	450	1200	£19.99/year average revenue per premium user
Research-data licences (£k)	0	0	0	30	75	Aggregated/anonymised; NIHR + MQ partnerships Y4+
White-label / API (£k)	0	0	0	20	165	International HE partners Y4+

TOTAL REVENUE (£k)	30	190	600	1750	4640	Sum of all streams
COST OF REVENUE (COGS)	Y1	Y2	Y3	Y4	Y5	
Cloud hosting (MongoDB Atlas, K8s)	4	12	30	75	180	Scales sub-linearly with users
Email + Push delivery	1	4	10	25	55	AWS SES + Expo Push
LLM API costs (OpenAI gpt-4o-mini)	2	8	22	55	135	For AI auto-replies in support chat
Stripe fees (~2.4%)	0.5	4	15	50	140	Standard UK Stripe fees
DSL on-call coverage (24/7)	18	45	80	140	250	PT in Y1; FT + bank Y2+
Total COGS (£k)	25.5	73	157	345	760	
Gross profit (£k)	4.5	117	443	1405	3880	
Gross margin (%)	15	62	74	80	84	Targets 80%+ at maturity
OPERATING EXPENSES	Y1	Y2	Y3	Y4	Y5	
Founder salary	30	55	75	90	100	Below market deliberately; visa Y1 lower
Engineering (FTE x avg £55k)	55	165	330	495	605	1, 3, 6, 9, 11 engineers
Customer success (FTE x avg £40k)	20	40	80	160	240	0.5, 1, 2, 4, 6 CS
Sales (FTE x avg £45k base + commission)	0	55	135	270	405	0, 1, 3, 6, 9 sales reps
Operations + Finance + People	0	40	80	160	240	Fractional Y1-2; FTE Y3+
Marketing (paid + content)	10	30	80	180	360	3-7% of revenue
Office / co-working	6	18	36	72	108	London co-working then office Y3+
Legal + Accounting	18	15	25	40	70	Higher Y1 for incorporation + IP + OSA opinion
Insurance (D&O, PI, Cyber, PL)	6	9	15	24	36	Hiscox + Markel quoted
Cyber Essentials Plus + annual pen-test	8	8	12	15	18	Required for university procurement
DPO (fractional then FTE)	12	60	75	80	85	The DPO Centre Y1; FTE Y2+

Travel + conferences (UUK, AMOSSHE)	4	15	30	55	90	
Software subscriptions (GitHub, Slack, etc.)	4	9	16	24	36	
Contingency (10% of opex)	17	52	102	170	253	
Total OPEX (£k)	190	571	1091	1835	2646	
EBITDA (£K)	-185.5	-454	-648	-430	1234	EBITDA-POSITIVE IN Y5
CAPEX / ONE-OFF	Y1	Y2	Y3	Y4	Y5	
R&D capitalisable	0	0	30	60	100	
Equipment	4	8	16	30	45	
CASH BURN	Y1	Y2	Y3	Y4	Y5	
Monthly burn (£k)	16	42	55	18	n/a	Y5 cash-positive
Annual net cash flow (£k)	-197	-502	-694	-270	2049	
CUMULATIVE	Y1	Y2	Y3	Y4	Y5	
Cumulative net (£k)	-190	-652	-1346	-1866	-777	
FUNDING	Y1	Y2	Y3	Y4	Y5	
Founder seed (delivered)	30	0	0	0	0	
Pre-seed (angel + Innovate UK grant)	150	0	0	0	0	Month 3 close
Seed round	0	750	0	0	0	Month 18 close
Series A	0	0	3500	0	0	Month 36 close
Innovate UK Smart Grant	0	250	0	0	0	50% match, mental-health stream
Total raised (£k)	180	1000	3500	0	0	Total: £4.68m over 3 rounds
HEADCOUNT (FTE END OF YEAR)	Y1	Y2	Y3	Y4	Y5	
Founder	1	1	1	1	1	
Engineering	1	3	6	9	11	
Customer success	0.5	1	2	4	6	
Sales	0	1	3	6	9	
DSL / Safeguarding	0.5	1	2	4	6	
DPO / Legal	0.3	1	1	2	2	
Marketing	0.5	1	2	3	5	

Operations / Finance / People	0.2	1	2	3	4	
TOTAL FTE	4	10	19	32	44	Slightly higher than main doc target of 42
KEY UNIT ECONOMICS	Y1	Y2	Y3	Y4	Y5	
Avg revenue per uni (£k)	10	16	16	20	24	
Avg cost to acquire a uni (£k)	6	5	4.5	4.2	4	
Years to payback per uni	0.6	0.31	0.28	0.21	0.17	
LTV (5-yr) per uni (£k)	50	80	80	100	120	
LTV : CAC	8.3	16	17.8	23.8	30	Healthy SaaS targets >3x by Y2
KEY ASSUMPTIONS & RISKS						
<i>1. Pricing assumes £1.50-£2.80 per student/year — below in-house counsellor cost (£40+ per student); validated against JISC 2024 procurement data</i>						
<i>2. Conversion to premium = 3-5% of verified students; below Calm (5.7%) and Headspace (4.2%) consumer benchmarks</i>						
<i>3. University procurement cycle = 4-6 months from first contact; aligns with JISC HE buying data</i>						
<i>4. NHS ICB commissioning gated on NHS Innovation Accelerator acceptance (~30% acceptance rate)</i>						
<i>5. Cost figures use 2026 London salary</i>						

<i>benchmarks; +3% annual inflation applied</i>						
<i>6. International revenue (Y4+) assumes Republic of Ireland first (no localisation cost); ANZ requires localisation</i>						
<i>7. R&D tax credit (HMRC RDEC) of ~16% available on qualifying spend; modelled conservatively as 10% effective</i>						